

PRESSURE POINT

THE RUPEE HAS BEEN UNDER SUSTAINED PRESSURE AS THE WAR IN WEST ASIA HAS PUSHED OIL PRICES PAST \$100 A BARREL

THE RUPEE TOUCHED AN INTRA-DAY ALL-TIME LOW OF 95.2 TO THE DOLLAR ON MARCH 30, AMID RISING IMPORTS AND HUGE OUTFLOWS FROM FPIs

AT THE ALL-TIME LOW, THE RUPEE HAD FALLEN A SHARP 5.8% IN JUST OVER THREE MONTHS, FROM 89.5 TO THE DOLLAR ON JANUARY 1



THE RBI STEPPED IN WITH MEASURES LIKE LIQUIDATING FOREIGN EXCHANGE TO STEM THE FALL

MAKING MATTERS WORSE, FPIs PULLED OUT CLOSE TO ₹1.81 LAKH CRORE FROM INDIA'S EQUITY MARKET BETWEEN APRIL 2025 AND MARCH 2026

IN MARCH ALONE, FPIs SOLD OVER ₹1.17 LAKH CRORE, AMONG THE WORST MONTHLY FOREIGN INVESTOR OUTFLOWS

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from the equity market. An FPI exodus creates demand for dollars as they take out capital from the country. This puts more pressure on the rupee.

The outflows may continue for some time, say analysts. “Markets like South Korea and Taiwan have the advantage of AI-related trade. But India is a laggard as far as AI is concerned. So, FPIs may continue to sell in the short term, though India offers long-term growth opportunities,” says V.K. Vijayakumar, Chief Investment Strategist at Geojit Investments.

Net foreign direct investment (FDI) into India, too, has been a concern. While gross FDI has been growing—it rose 15% to \$79.32 billion between April 2025 and January—net FDI fell 24% to just \$1.66 billion, due to the rise

in outward FDI and repatriation. That, too, is putting pressure on the rupee.

RBI STEPS IN

This volatility has forced the RBI to intervene in the foreign exchange market to stabilise the rupee.

According to Sonal Varma and Aurodeep Nandi, economists at Japanese financial services firm Nomura, the RBI’s short-forward book stood at \$77.7 billion at the end of February. They estimate that the RBI net sold \$18.3 billion of spot forex reserves between March 1 and 27. A short-forward dollar position means the central bank is selling dollars for future delivery, while buying rupee in the spot market. This allows it to support the local currency, while

not immediately depleting its dollar reserves.

The RBI does have some comfort on the forex reserves front. In the week ended April 3, India’s reserves rose over \$9 billion to \$697.12 billion. RBI Governor Sanjay Malhotra has said that the reserves are “adequate” in terms of standard metrics, providing an import cover of about 11 months.

As the rupee was falling fast, on March 29, the central bank directed authorised dealers to ensure that their net open rupee positions—the difference between foreign currency assets and liabilities—be maintained within \$100 million at the end of each business day. The idea being that banks would wind up any excess forex positions, creating excess dollar supply and